CHAPTER 10

Alternative Investments

KEY CONCEPTS

- Alternative asset classes extend beyond traditional stocks and bonds.
- Many alternative asset classes are difficult to invest in.
- Illiquidity and high costs often overshadow any advantage.
- Some mutual funds and ETFs are now available at a moderate fee.

Modern portfolio theory is not limited to stocks, bonds, and real estate. Over the years, alternative asset classes have been playing a larger role in portfolio design. Alternative asset classes include investments in commodities, collectibles, and hedge funds.

Some say that the advantage of adding alternative assets to a portfolio is that they tend to exhibit low correlation with traditional stock and bond investments. For this reason, some people argue that alternative asset classes in a portfolio has the potential to lower overall portfolio risk and increase long-term return. I have doubts.

Stocks and bonds are for investing; commodities are for speculating. Commodities include physical assets and futures contracts that track the price of everything from wheat to gold to pork bellies. These are not growth assets. A ton of copper today will be a ton of copper 10 years from now and 100 years from now, and a ton of copper pays no dividends or interest.

Price volatility alone does not generate an inflation-adjusted return from an investment. It is cash flow that drives real returns higher. The earnings growth from corporate stock that leads to cash dividends, interest income from bonds, rents from real estate, and the known scarcity value of collectibles such as rare coins are the things that create real wealth. Commodity prices will go up and down with the volatility of stocks, but they will not deliver the return of stocks because they have no ability to create cash income.